EXECUTIVE SUMMARY

1. Introduction:

For more than 95 years, since it was separated from its mother town Amulung, the Municipal Government of Baggao has been seated at the Centro or Poblacion. The Poblacion or Centro founded almost a century ago is no longer the center today. Basing on the context of "ripple effect" approach of development, the present site of the Municipal Government of Baggao has already become misplaced and unstrategically located as its pivotal role of or equal government services and opportunities has already waned.

The town is currently headed by Hon. Leonardo C. Pattung who is on his third consecutive term as the Local Chief Executive. The municipal government's primary concern is to deliver basic services to its constituents, generate income for the Municipality through collection of local taxes and provide its officials and employees timely payment of salaries and benefits.

Scope of the Audit

A financial and compliance audit was conducted on the accounts and operations of the Municipality for the year 2014. The audit consisted of review of operating procedures, inspection of projects on selected basis, interview of and meeting with concerned local government officials and employees. Verification, reconciliation and analysis of accounts, and such other auditing procedures considered necessary under the circumstances.

2. Financial Highlights:

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Baggao, Cagayan for the year ended December 31, 2014, with comparative figures for CY 2013, are as follows:

Particulars	2014	2013	Increase (Decrease)
Financial Condition			
Total Assets	385,962,298.30	475,765,856.82	(89,803,558.52)
Total Liabilities	117,458,787.42	84,220,108.21	33,238,679.21
Total Government Equity	268,503,510.88	391, 545,748.61	(123,042,237.73)
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	209,197,974.42	185,376,511.37	23,821,463.05

Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations)	173,316,053.90	154,874,866.34	18,441,187.56
Appropriations, Allotments and Obligations			
Appropriations - Current	233,295,888.66	196,343,708.85	36,952,179.81
Appropriations - Continuing	51,629,115.81	81,568,825.95	(29,939,710.14)
Allotments - Current	230,165,429.66	196,343,708.85	33,821,720.81
Allotments - Continuing	51,629,115.81	81,568,825.95	(29,939,710.14)
Obligations - Current	169,081,534.22	151,618,599.34	17,462,934.88
Obligations - Continuing	33,254,960.94	56,192,298.41	(22,937,337.47)
Funds Received from Other Agencies:			
NGAs	19,928,668.64	12,747,770.00	7,180,898.64
LGUs	1,348,391.16	0.00	1,348,391.16
NGO/Pos	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	21,277,059.80	12,985,770.00	8,529,289.8
Funds Transferred to Other Agencies			
NGAs	0.00	0.00	0.00
LGUs	1,871,158.00	1,038,000.00	833,158.00
NGO/Pos	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	1,871,158.00	1,038,000.00	833,158.00

3. Independent Auditor's Report on the Financial Statements

The Auditor rendered qualified opinion on the fairness of the presentation of the financial statements of LGU-Baggao, Cagayan as of December 31, 2014 due to the effects on the validity and accuracy of the balance of Property, Plant and Equipment (PPE) with a carrying book value of ₱488,099,695.05 which could not be ascertained due to the existence of unreconciled amount of ₱37,960,208.33 between the accounting records and Report on the Physical Count of Property, Plant and Equipment. The reliability and accuracy of the Due to NGAs/LGUs balances could not be ascertained due to the absence of details or subsidiary ledgers thereof. Undelivered supplies in the total amount of ₱1,528,093.74 were recorded in the books as Inventory. Loan receivables of ₱2,093,525.00 remained unsettled for two to 12 years and unrestituted cash shortage of ₱965,515.37 for 12 years.

4. Summary of Significant Observations and Recommendations

a. The Municipality's continuous disregard in the enforcement of collection of the shortage through malversation of public funds by the former disbursing officer despite the issuance of a court order resulted in the unrestituted amount of ₱965,515.37 for 13 years now.

We recommend that management make representation with the court and seek possible legal remedies that the amount of shortage be restituted as ordered, so that the missing funds conveyed through negligence in the malversation of government funds be detached in the official records of the municipality.

b. The unutilized balances of Priority Development Assistance Fund (PDAF) and DAP in the amount of P 515,047.64 and ₱49,599.12, respectively as of December 31, 2014 were not returned to the Bureau of Treasury.

We again reiterate our previous year recommendation that the Local Chief Executive to direct the Municipal Treasurer and return the unutilized funds to the National Treasury.

c. The Special Education Fund in the total amount of ₱826,049.48 were used for disbursement which do not fall under the provision of Section 271 of RA7160 and rules and regulations issued under DECS, DBM, and DILG Joint Circular Nos. 01, 01-A and 01-B, series 1998, 2000 and 2001, respectively.

We recommend that the Local School Board strictly adhere to Section 272 of R.A. and DECS (Now DepEd), DBM and DILG Joint Circular Nos. 01, 01-A and 01-B to effectively attain the purpose of which the fund was created. Other expenditures may be appropriated out from the General Fund.

d. Regular meal allowance amounting to ₱205,050.00 was disbursed to members of the Rescue 24/7 charged against the Municipal Development Disaster Risk Management Fund (MDRRMF) under the pre-disaster operation program contrary to Section 3 of COA Circular No. 2012-02 dated September 2, 2012, resulting to unnecessary and extravagant expenditures.

We recommend that management stop the practice of giving incentives through payment of meal allowance to the 24/7 Rescue Members and adhere strictly to the provision of Section 3 of COA Circular No. 2012-02 dated September 2, 2012.

e. **School Building and Day Care Center with a total value of ₱13,741,284.24 and ₱2,693,826.85, respectively, were no yet transferred to the recipient schools/barangays as end-users for proper accountability contrary to Section 58 of P.D. 1445.**

We recommend that management transfer the ownership of the school building and day care center to recipient school/barangay in order to establish property accountability. The transfer should be covered by a Sangguniang Bayan Resolution as well as Deed of Donation.

f. **Ownership or right of the municipality over the 10 parcel of lands valued in the total amount of ₱212,691.43 remains weak as titling thereof was not facilitated contrary to Section 148 of COA Circular No. 92-386 dated October 20, 1992 and Section 23(2) of Title I-Book V of the Administrative Code of 1987, thus ownership could not be ascertained and exposing the same at risk with 3rd party claim in the future.**

We recommend that management designate a focal person responsible solely in the processing of documents in order to concentrate the completion of the titling. They should coordinate with the concerned government agencies to facilitate titling of the lot, so that the ownership thereto could be properly secured and to avoid future litigations of third party against the municipality. Exert effort to retrieve the documents for its titling.

g. **Several livelihood and entrepreneurship loan which were granted to private individuals amounting ₱2,093,525.00 remained uncollected for a long period of time due to laxity of management to enforce strict collection thereof contrary to Section 2 of PD 1445. Likewise, copies of Memorandum of Agreement (MOA) entered into the recipients of the loans were not submitted to the Auditor within five (5) working days from its execution contrary to COA Circular No. 2009-001 dated February 12, 2009.**

We recommend that management to send demand letters to all loan borrowers, and refer for legal action to enforce settlement. If collection is nil,

management should request for write off to COA in accordance with existing regulations.

5. Summary of Total Suspensions/Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00
Disallowances					
Prior Years	₱0.00	₱0.00	₱0.00	₱0.00	₱0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	₱0.00	₱0.00	₱0.00	₱0.00	0.00
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Of the 24 audit recommendations embodied in previous annual audit reports, eight were fully implemented, three were partially implemented and 13 were not implemented.